

The Vendor Governance Toolkit : A TWMM Framework

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Introduction

This **Vendor Governance Toolkit** is the final pillar of the TWMM Advisor Vault. In a 1–20 provider practice, you rely heavily on third-party partners for IT, Billing, and EMR services. Without a formal governance framework, these vendors can become "black boxes" that drain revenue and create compliance risks.

1. Business Associate Agreement (BAA) Audit

- **Explanation:** A mandatory HIPAA contract that ensures vendors handling Protected Health Information (PHI) agree to the same security standards as your clinic.
- **Importance:** Without a signed BAA, any data breach by your vendor becomes a primary liability for your practice.
- **Why Included:** This is the "First Line of Defense" in our **Assess. Fix. Govern.** model for medical clinics.
- **Evaluation (Manual):**
 1. **Inventory:** List every vendor with data access (IT, EMR, Billing, Shredding, VoIP).
 2. **Verify:** Physically locate a signed BAA for each.
- **Record:** Track the "Effective Date" and the designated Privacy Officer for each vendor.

2. RCM Vendor Performance Scorecard

- **Explanation:** A structured monthly evaluation of your billing company's output.
- **Importance:** Billing companies often prioritize "easy" claims; governance ensures they are working your difficult 90+ day A/R and appeals.
- **Why Included:** You cannot "Fix" your revenue cycle if you aren't holding your billing partner accountable to high-performance benchmarks.
- **Evaluation (Manual):**
 1. **Target:** Ensure they maintain a **96% Net Collection Rate** and keep **90+ Day A/R below 15%**.
 2. **Review:** Meet monthly to review their "Unworked Denial" report.
- **Record:** Grade the vendor on a scale of 1–5 based on their ability to meet these specific KPIs.

3. IT & EMR Service Level Agreement (SLA) Review

- **Explanation:** Measuring the actual "uptime" and response speed of your technology partners.
- **Importance:** If your EMR is down or your internet is out, clinical operations stop immediately.
- **Why Included:** In the **Tampa Bay** market, reliable IT infrastructure is the backbone of high-volume outpatient care.
- **Evaluation (Manual):**
 1. **Uptime:** Verify that the EMR vendor is providing at least 99.9% availability.
 2. **Response:** Audit 5 recent support tickets—was a "High" priority issue resolved within 4 hours?
- **Record:** Log any downtime events and the "Total Time to Resolution" (TTR) for critical tickets.

4. Security Patch & Update Governance

- **Explanation:** Verifying that your IT vendor is actively maintaining the security of your local servers and workstations.
- **Importance:** Unpatched systems are the primary entry point for ransomware in medical practices.
- **Why Included:** This aligns with the "Technical Safeguards" in your **10-Point HIPAA Privacy Audit**.
- **Evaluation (Manual):**
 1. **Request:** Ask your IT vendor for a monthly "Patch Management Report".
 2. **Verify:** Ensure all workstations are running the latest version of their OS and Antivirus.
- **Record:** Document the date of the last comprehensive system scan and patch cycle.

5. Vendor Cost-to-Value Assessment

- **Explanation:** Periodically comparing vendor fees against the actual ROI they provide to the practice.
- **Importance:** "Subscription Creep" can lead to thousands in wasted annual spend on legacy software or under-performing services.
- **Why Included:** Healthy governance requires lean operations to maximize physician distributions.
- **Evaluation (Manual):**
 1. **Benchmarking:** Compare your billing fee (typically a % of collections) against local **Palm Harbor** market trends.
 2. **Rationalize:** If a software tool isn't being used by staff, eliminate the license.
- **Record:** Conduct this review annually during your 2026 budget planning.

How TWMM Can Help You

As your **Director of IT and Governance**, Transworld Medical Management serves as the "Owner's Representative" between you and your vendors.

- **Objective Monitoring:** We use **PowerBI** to connect to your EMR/Billing data directly, so you don't have to rely on the "filtered" reports your vendors provide.
- **Vendor Remediation:** When a vendor is failing to meet an SLA, we step in to **Fix** the relationship or manage the transition to a more reliable partner.
- **Total Peace of Mind:** We **Govern** the technical and administrative details so you can focus on patient care.

Ready to move from Assess to Fix? Contact us at admin@transworldmm.com or visit transworldmm.com to schedule your comprehensive Practice Health Assessment.